Fundamentals of Credit Management

Course: DCM — Diploma in Credit Management

Level: Level I

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Syllabus version: Based on the standard KASNEB DCM Level I Fundamentals of Credit Management syllabus topics — introductory concepts, credit terminology, basic credit control, and simple debtor calculations. Authored from general professional credit-management knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

> **Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The worked example and practice questions are original scenarios.

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1. What is credit management?

Credit management is the set of activities a business uses to decide who to lend to (in the form of allowing them to buy now and pay later), how much to lend, and how to make sure that money is collected on time. At this foundational level, the focus is on the basic building blocks: understanding key terms, keeping accurate debtor records, and following a simple, consistent routine for chasing overdue accounts.

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2. Key credit terminology

- **Debtor (or "receivable")** — a customer who owes the business money for goods or services already supplied.
- **Creditor (or "payable")** — a supplier the business itself owes money to.
- **Credit period** — the agreed number of days a customer is given to pay an invoice (e.g. "30 days net").
- **Credit limit** — the maximum amount of credit a business is willing to let a particular customer owe at any one time.
- **Invoice** — the document raised to record a sale on credit and request payment.
- **Statement of account** — a periodic summary sent to a customer, listing all invoices, payments, and the running balance owed.
- **Overdue account** — a debtor balance that has passed its agreed credit period without being paid.

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3. Why businesses grant credit

- To make it easier for customers to buy, especially larger amounts than they could pay in cash immediately.
- Because it is the accepted norm in most business-to-business trade — a supplier that insists on cash only may lose customers to competitors who offer credit.
- To build an ongoing trading relationship, encouraging repeat purchases.

The risk in return is that some customers will pay late, and a smaller number will not pay at all — which is exactly why credit management, as a discipline, exists.

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4. Sources of credit information

Before granting credit to a new customer, a business can gather information from:

- **Trade references** — other suppliers the prospective customer already buys from on credit.
- **Bank references** — a statement from the customer's bank on their general standing (subject to the customer's consent).
- **Financial statements** — recent accounts, where available, showing the customer's financial position.
- **Credit reference bureaus** — external agencies that hold payment-history data on individuals and businesses.
- **Past trading experience** — if the business has dealt with the customer before, its own payment history is often the most reliable indicator.

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5. Setting a credit limit

A credit limit is the ceiling on how much a specific customer may owe at any one time. Points to keep in mind:

- New customers are usually given a modest limit initially, reviewed upward once a track record of prompt payment is established.
- The limit should reflect the customer's assessed ability to pay, not simply how much they want to buy.
- Limits should be reviewed periodically — tightened for customers whose payment behaviour deteriorates, and potentially raised for consistently reliable payers.
- Orders that would push a customer over their limit should be flagged for review before being fulfilled on credit.

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6. The sales ledger and basic debtor records

The **sales ledger** (or debtors ledger) is where a business records everything relating to credit sales and what customers owe:

- Each customer typically has their own account, showing invoices raised, payments received, credit notes issued, and the running balance.
- The **sales ledger control account** in the general ledger should agree, in total, with the sum of all individual customer balances in the sales ledger — a mismatch signals a recording error that needs investigating.
- Accurate, up-to-date records are the foundation of good credit control — you cannot chase what you have not recorded correctly.

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7. Simple debtor control ratios

- **Average collection period (debtor days)** = (Trade debtors ÷ Credit sales) × 365 — shows, on average, how many days it takes to collect payment after a sale.
- **Debtors turnover ratio** = Credit sales ÷ Trade debtors — shows how many times, per year, the debtors balance is "turned over" (collected and replaced by new credit sales).

A rising average collection period, or a falling debtors turnover ratio, both point in the same direction: customers are, on average, taking longer to pay.

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8. Overdue accounts: a basic follow-up routine

A simple, consistent routine for a Level I credit control role:

1. Check the ageing of the sales ledger regularly (e.g. weekly) to identify newly overdue accounts.
2. Send a polite reminder/statement as soon as an account passes its due date.
3. Follow up with a phone call if the reminder does not produce payment within a short, defined period.
4. Escalate accounts that remain unpaid to a supervisor or the credit manager for firmer action.
5. Keep a clear record of every contact made and every promise-to-pay given by the customer.

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9. The credit controller's day-to-day duties

- Opening new customer accounts and recording the agreed credit limit and terms.
- Raising and checking invoices and statements for accuracy.
- Monitoring the ageing of the sales ledger.
- Making routine follow-up calls/sending reminders on overdue accounts.
- Recording customer queries or disputes and routing them for resolution.
- Reporting regularly to the credit manager on the state of the debtors book.

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10. Ethics in credit management

- Treat all customers fairly and consistently — apply the same credit assessment standards and follow-up approach across similar customers.
- Never misrepresent a customer's account status, either to the customer or internally.

- Respect customer privacy when handling personal or financial information gathered during assessment.
- Be firm but professional and courteous during collection follow-up — aggressive or harassing conduct is both unethical and can expose the business to legal risk.

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11. Full worked question — average collection period

Scenario. Nia Traders had credit sales of KES 9,000,000 for the year ended 31 December 2025, and trade debtors of KES 1,350,000 at that date.

Required: Compute the average collection period (debtor days) for the year, and comment on what it means if the business's stated credit terms are 30 days.

Solution:

Average collection period = (Trade debtors ÷ Credit sales) × 365

= (1,350,000 ÷ 9,000,000) × 365

= 0.15 × 365

= **54.75 days** (approximately 55 days)

Comment: Since the business's stated credit terms are 30 days, but customers are taking about 55 days on average to pay, the business is collecting significantly slower than its own terms allow — this points to a need for tighter credit control and more active follow-up on overdue accounts.

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12. Practice examination — KASNEB-style paper (original, not a past paper)

> **Note on format.** This section is laid out the way a KASNEB DCM examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

DCM LEVEL I — FUNDAMENTALS OF CREDIT MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Define the following terms: (i) debtor, (ii) credit limit, (iii) credit period. *(6 marks)*

(b) Explain THREE reasons why a business would choose to grant credit to its customers. *(9 marks)*

(c) State TWO risks a business takes on when it grants credit. *(5 marks)*

(Total: 20 marks)

QUESTION TWO

(a) State FOUR sources of information a business can use to assess a new customer's creditworthiness. *(8 marks)*

(b) Explain the factors a business should consider when setting a credit limit for a new customer. *(8 marks)*

(c) Explain why a credit limit should be reviewed periodically rather than set once and left unchanged. *(4 marks)*

(Total: 20 marks)

QUESTION THREE

Jitegemee Enterprises had credit sales of KES 7,200,000 for the year ended 31 December 2025 and trade debtors of KES 1,080,000 at that date. The business's stated credit terms are 45 days.

Required:

(a) Compute the average collection period (debtor days) for the year. *(8 marks)*

(b) Comment on whether the business is collecting within its stated credit terms. *(4 marks)*

(c) Explain the debtors turnover ratio, and compute it for Jitegemee Enterprises. *(8 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Outline the basic follow-up routine a Level I credit controller should apply to a newly overdue account. *(10 marks)*

(b) Explain why the sales ledger control account should be reconciled regularly against the individual customer balances in the sales ledger. *(6 marks)*

(c) State TWO records a credit controller should keep whenever they follow up on an overdue account. *(4 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Outline FIVE day-to-day duties of a credit controller. *(10 marks)*

(b) Explain TWO ethical principles a credit controller should observe when dealing with customers. *(6 marks)*

(c) Explain why aggressive or harassing collection conduct is a poor practice, beyond simply being unethical. *(4 marks)*

(Total: 20 marks)

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13. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(6 marks)* — (i) Debtor: a customer who owes the business money for goods/services already supplied. (ii) Credit limit: the maximum amount of credit a business will let a customer owe at any one time. (iii) Credit period: the agreed number of days a customer has to pay an invoice.

(b) *(9 marks — 3 marks each, any three)* — Makes it easier for customers to buy larger amounts than they could pay in cash immediately; is the accepted norm in business-to-business trade, so refusing it risks losing customers to competitors; builds an ongoing trading relationship and repeat business.

(c) *(5 marks — any two)* — Late payment, tying up cash the business needs; total non-payment (bad debt).

QUESTION TWO

(a) *(8 marks — 2 marks each, any four)* — Trade references; bank references; financial statements; credit reference bureau reports; past trading experience with the customer.

(b) *(8 marks)* — The limit should reflect the customer's assessed ability to pay (not simply what they want to buy), informed by the sources in part (a); new customers typically start with a modest limit, reviewed upward once a track record of prompt payment is established.

(c) *(4 marks)* — Because a customer's financial position and payment behaviour can change over time — limits should be tightened for deteriorating payers and can be raised for consistently reliable ones, rather than left fixed regardless of actual experience.

QUESTION THREE

(a) *(8 marks)* — (1,080,000 ÷ 7,200,000) × 365 = 0.15 × 365 = **54.75 days** (approximately 55 days).

(b) *(4 marks)* — No — the business's stated terms are 45 days, but customers are taking about 55 days on average, meaning collection is running roughly 10 days slower than the business's own credit terms allow.

(c) *(8 marks)* — Debtors turnover ratio = Credit sales ÷ Trade debtors, showing how many times per year the debtors balance is collected and replaced by new credit sales. For Jitegemee Enterprises: 7,200,000 ÷ 1,080,000 = **6.67 times per year**.

QUESTION FOUR

(a) *(10 marks)* — Check the sales ledger ageing regularly to spot newly overdue accounts; send a polite reminder/statement as soon as an account passes its due date; follow up by phone if the reminder does not produce payment within a short defined period; escalate accounts remaining unpaid to a supervisor/credit manager; keep a clear record of every contact and promise-to-pay.

(b) *(6 marks)* — Because the control account total should always equal the sum of individual customer balances; any mismatch signals a recording error somewhere in the sales ledger that needs to be found and corrected before the figures can be relied on.

(c) *(4 marks — any two)* — The date and method of each contact made; any promise-to-pay given by the customer (and whether it was honoured); the outcome/next action agreed.

QUESTION FIVE

(a) *(10 marks — 2 marks each, any five)* — Opening new customer accounts and recording agreed limits/terms; raising and checking invoices/statements for accuracy; monitoring the ageing of the sales ledger; making routine follow-up calls/reminders on overdue accounts; recording and routing customer queries/disputes; reporting regularly to the credit manager.

(b) *(6 marks — any two)* — Treating all customers fairly and consistently, applying the same standards across similar customers; respecting customer privacy when handling personal/financial information gathered during assessment; never misrepresenting a customer's account status.

(c) *(4 marks)* — Beyond the ethical concern, aggressive or harassing conduct can damage the customer relationship (reducing future sales), harm the business's reputation, and expose it to legal risk (e.g. under consumer-protection or debt-collection regulation).

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14. Exam technique and revision checklist

- Definition questions ((a) parts asking to "define" or "state"): keep answers short, precise, and to the point — a concise, accurate definition scores better than a long, vague one.
- Debtor-days questions: always state the formula, show the substitution, and give a one-line comment relating the answer back to the business's own stated credit terms where given — this is where most of the marks sit.
- Always distinguish average collection period (an average number of days) from debtors turnover ratio (a number of times per year) — they use the same two inputs but answer different questions.
- Follow-up/collection-routine questions: answer as an ordered sequence of steps, not a jumbled list — order itself is often part of what's being tested.
- Ethics questions: give a specific principle and a brief reason it matters in a credit-control context, not just a generic statement like "be honest."

Quick revision — one line per topic:

1. Credit management balances winning/keeping customers against the risk of late or non-payment.
2. Key terms: debtor, creditor, credit period, credit limit, invoice, statement of account, overdue account.
3. Sources of credit information: trade references, bank references, financial statements, credit bureaus, past trading experience.
4. Credit limits should reflect assessed ability to pay and be reviewed periodically.
5. The sales ledger control account must agree with the sum of individual customer balances.
6. Average collection period (debtor days) = (Trade debtors ÷ Credit sales) × 365.
7. Debtors turnover ratio = Credit sales ÷ Trade debtors.
8. A basic follow-up routine: check ageing → reminder → phone follow-up → escalate → record everything.
9. Core credit-controller duties: account opening, invoicing, ageing monitoring, follow-up, query handling, reporting.
10. Ethical credit control is fair, consistent, respectful of privacy, and professional rather than aggressive.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.